

Global Macro Strategy

Divergence Takes Hold

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York University – Finance Student Association (FSA)

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Economics

Growth Roars, Inflation Follows

Abishek Daryanani & Varen Desai

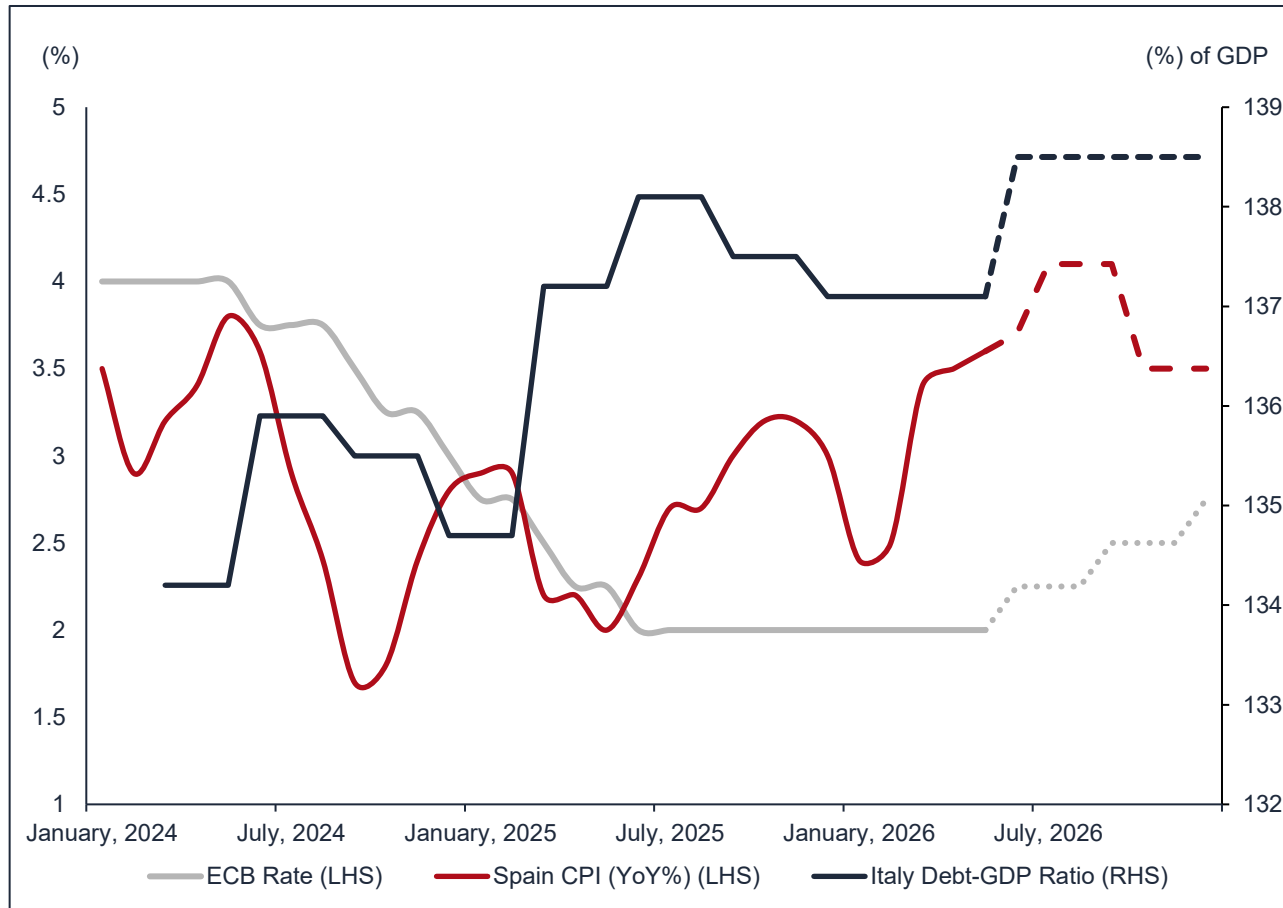


Growth Roars, Inflation Follows

- **Energy Shock Embeds Into Global Price Levels:** US April CPI accelerated to 3.8% YoY while Eurozone CPI surged to +3.03% YoY as energy import costs overwhelmed prior disinflation progress, with Canada holding better at 2.82% given its net exporter status. Japan stayed contained at +1.35% YoY while China accelerated to +1.2% YoY, marking a potential exit from its prolonged deflationary cycle. The IMF's revised 2026 its global inflation forecast of 4.4% YoY now looks increasingly conservative as second-round effects from the Iran War filter through services components across developed markets.
- **Atlanta Fed Defies Global Slowdown:** The Atlanta Fed GDPNow is tracking US Q2 growth at 3.0% YoY, still well above the IMF's 2.3% YoY full year forecast, as AI driven productivity gains and resilient consumer spending insulate the US from the energy shock. Canada contracted in Q4 2025 and is forecast to grow just 1.2% YoY for the full year, weighed down by tariff exposure and a labour market that shed 112,000 jobs since January. The Eurozone is expected to grow +1.38% YoY with Japan +0.44% YoY in 2026, as both absorb elevated energy costs and weakening export demand.
- **US Resilience Masks Global Economic Fears:** U.S. April NFP was +115,000, nearly doubling the 65,000 consensus, with gains across healthcare, transportation and retail, while the unemployment rate held at 4.3% and wage growth moderated to +3.6% YoY. Canada lost 18,000 jobs in April, pushing cumulative 2026 losses to 112,000. The unemployment rose to a six-month high of 6.9% as full-time employment fell 47,000 and youth unemployment climbed to 14.3%. Japan edged up to 2.50% while the Eurozone held at 6.20%, with Spain remaining structurally elevated at 10.30% as the energy shock weighed on hiring across manufacturing-dependent economies.
- **Central Banks On Hold for Now:** Major central banks globally remained on hold in May, but there are growing signs of policy divergences on the horizon. For now, the Fed remains on hold with overnight rates at 3.50% - 3.75%, BoC at 2.25%, the ECB at 2.00%, and the BoJ's at 0.75%.

Rising Rates and the Italian Debt Trap

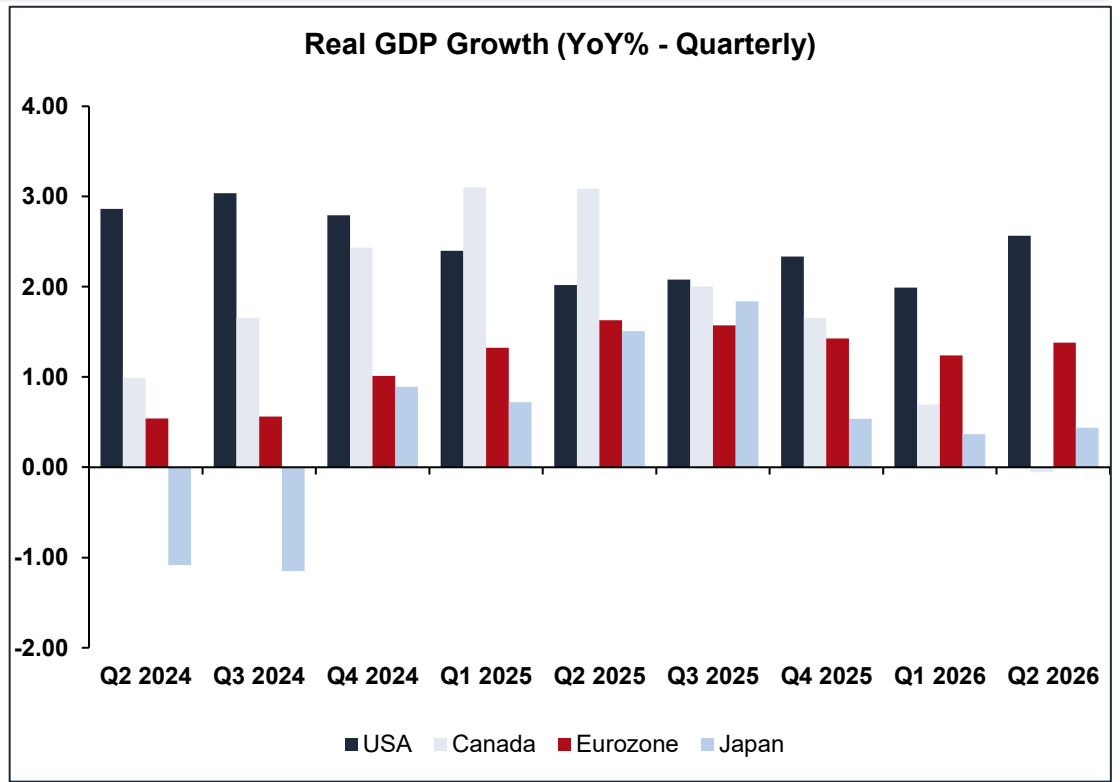
Spain CPI, ECB Policy Rate, and Italy Debt to GDP



- **Spain Inflation Rebounds:** Headline inflation rose to +3.6% YoY in May and is on track to approach +4% YoY this summer as temporary energy tax cuts expire. Underlying price pressures remain stubborn because the domestic economy is running above capacity.
- **ECB Forced to Hike:** These persistent price pressures mean the central bank cannot leave interest rates paused at 2% for much longer. Recent meeting minutes confirm a June rate hike is locked in, and market expectations point to a steady climb to a 2.75% terminal rate by December.
- **Italy Debt Trap Closes:** Rising borrowing costs coincide at a time when Italy's debt-to-GDP ratio rose to at 138.5%. This increase was driven by the delayed cash costs of the Superbonus housing scheme, putting Rome on track to potentially surpass Greece as the most heavily indebted economy in the Eurozone by 2027.

Macro Scorecard (%)						
	Last	YoY % Chg.	1 Week Prior	1 Month Prior	6 Months Prior	1 Year Prior
US CPI Urban Consumers YoY	3.80	58.33	3.80	3.80	2.70	2.40
US Unemployment Rate	4.30	0.00	4.30	4.30	4.50	4.30
Canada CPI YoY	2.80	64.71	2.80	2.80	2.20	1.70
Canada Unemployment Rate (%)*	6.63*	-1.04	6.63*	6.63*	7.03*	6.7*
Eurozone CPI	3.20	68.42	3.00	3.00	2.10	1.90
Eurozone Unemployment Rate (%)*	6.33*	0.48	6.33*	6.33*	6.3*	6.3*
China CPI YoY	1.20	1300.00	1.20	1.20	0.70	-0.10
Japan CPI Nationwide YoY	1.40	-60.00	1.40	1.40	2.90	3.50
UK CPI EU Harmonized YoY	2.80	-17.65	2.80	2.80	3.20	3.40

Major Interest Rates (%)						
Rate	Last	YoY % Chg.	1 Week Prior	1 Month Prior	6 Months Prior	1 Year Prior
Canada Prime Rate	4.45	-10.10	4.45	4.45	4.45	4.95
US Prime Rate	6.75	-10.00	6.75	6.75	7.00	7.50
Federal Funds Target Rate	3.75	-16.67	3.75	3.75	4.00	4.50
UK Prime Rate	3.75	-11.76	3.75	3.75	4.00	4.25
ECB Benchmark Rate	2.15	-10.42	2.15	2.15	2.15	2.40
Japan Prime Rate	2.13	13.33	2.13	2.13	1.88	1.88



Key Upcoming Events - June 2026						
Country	Date	Time	Report Name	Period	Previous	Unit
Australia	June 2, 2026	9:30:00 PM	GDP (sa)	1Q	2.6	%
India	June 5, 2026	12:30:00 AM	RBI - Repo Rate	Jun 5	5.3	%
Japan	June 7, 2026	7:50:00 PM	GDP	4Q F	1.3	%
Canada	June 12, 2026	8:30:00 AM	Capacity Utilization	4Q	78.5	%
New Zealand	June 17, 2026	6:45:00 PM	GDP YoY	1Q	1.3	%
Argentina	June 23, 2026	3:00:00 PM	GDP YoY	1Q	6.3	%
United States of America	June 24, 2026	8:30:00 AM	Current Account	1Q	(190.8)	Bn
Canada	June 3, 2026	8:30:00 AM	Labor Productivity	4Q	(0.1)	%

Equities

Concentration Deepens, Breadth Fades

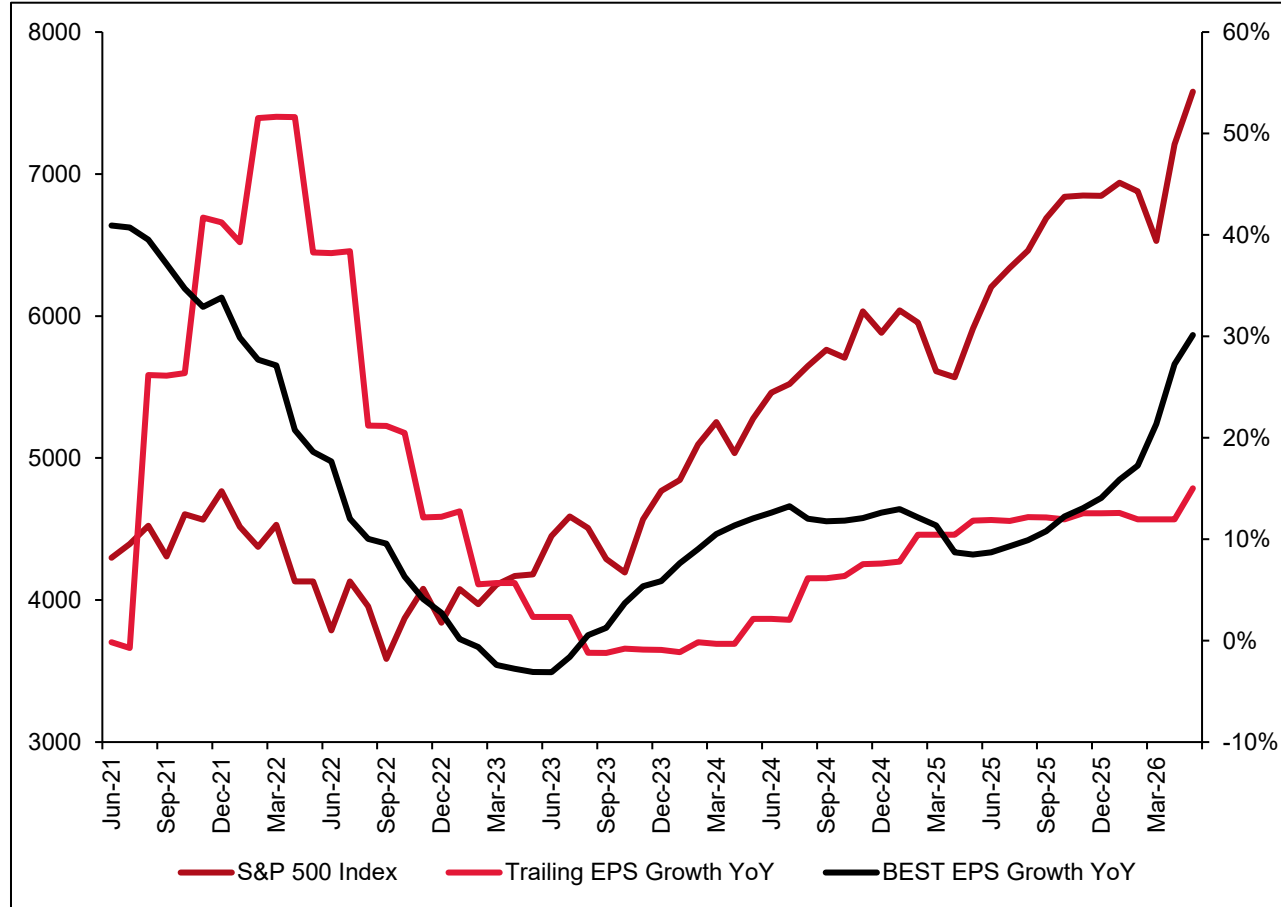
Davidson Ajay

Concentration Deepens, Breadth Fades

- **Global Equities Soared as Leadership Narrowed:** MSCI ACWI rose +5.21% MTD (+12.35% YTD), led by Emerging Markets (MSCI EM +9.71% MTD, +25.65% YTD) over Developed (MSCI World +4.61%). Japan's Nikkei 225 (+6.24%) topped developed peers, ahead of Europe (STOXX 600 +3.22%, DAX +3.34%).
- **Tech-Led Concentration Drove the S&P 500's Ninth Consecutive Weekly Gain:** Information Technology (+15.99% MoM) was the month's dominant performer, underpinned by AI infrastructure demand and a blowout semiconductor cycle. The S&P 500 gained +5.26% MTD, with the Mega Cap S&P 100 and S&P 500 Growth advancing +6.32% and +8.09% respectively, as High Beta (+11.57%) and Momentum (+12.62%) factors led style performance.
- **Breadth Remained Narrow as Sector Dispersion Widened:** May's headline advance masked significant underlying weakness — Financials (-1.06%), Consumer Staples (-3.17%), Communication Services (-0.91%), Materials (-0.66%), Energy (-5.56%), and Real Estate (-1.05%) all declined MTD. Healthcare (+2.48%) was the only sector to join Tech in positive territory, reflecting a market increasingly reliant on mega-cap AI concentration to sustain index-level returns.
- **Energy's YTD Leadership Reversed on Geopolitical De-escalation:** Energy (-5.56% MTD) suffered its steepest monthly drawdown of 2026 as a tentative U.S.-Iran ceasefire rapidly unwound the Strait of Hormuz risk premium that had propelled the sector to a +26.04% YTD lead, with Brent posting its largest monthly decline since 2020.
- **Record Q1 Earnings Validated the AI Cycle:** 84% of S&P 500 names beat EPS by 18.2%, near double the five-year average, with a record 14.7% net margin. Analysts see 21.0% 2026 EPS growth, with the forward P/E at 20.9x.
- **Fed Transition and Repriced Rate Path Capped Equity Upside:** Powell's departure on May 15 and Warsh's assumption of the Chairmanship introduced policy uncertainty that weighed on risk appetite. The 10-year yield hit 4.687% intra-month, its highest since January 2025, compressing growth multiples, with rate-sensitive Utilities (-5% MTD) bearing the brunt of the hawkish repricing.

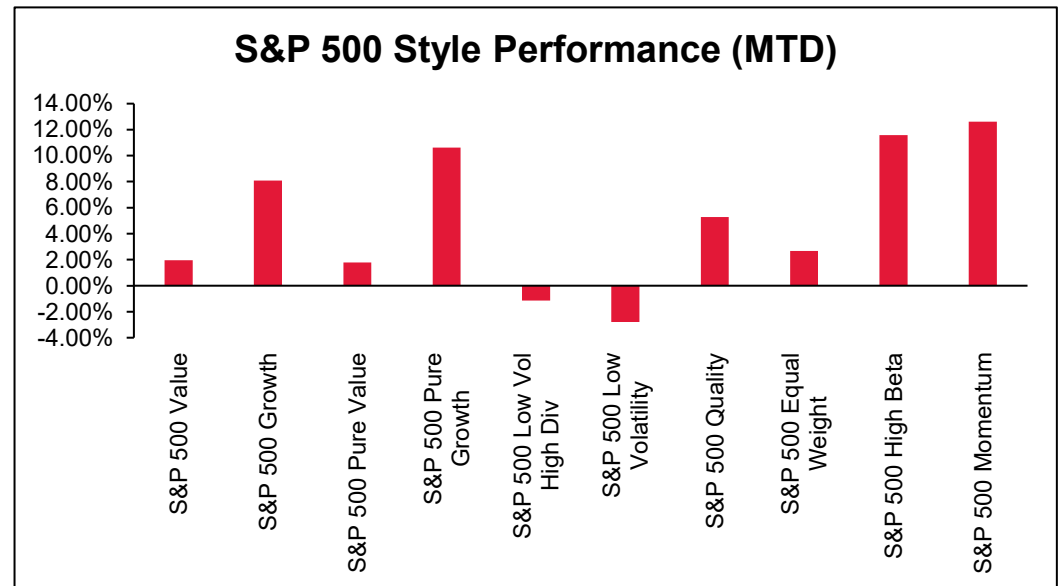
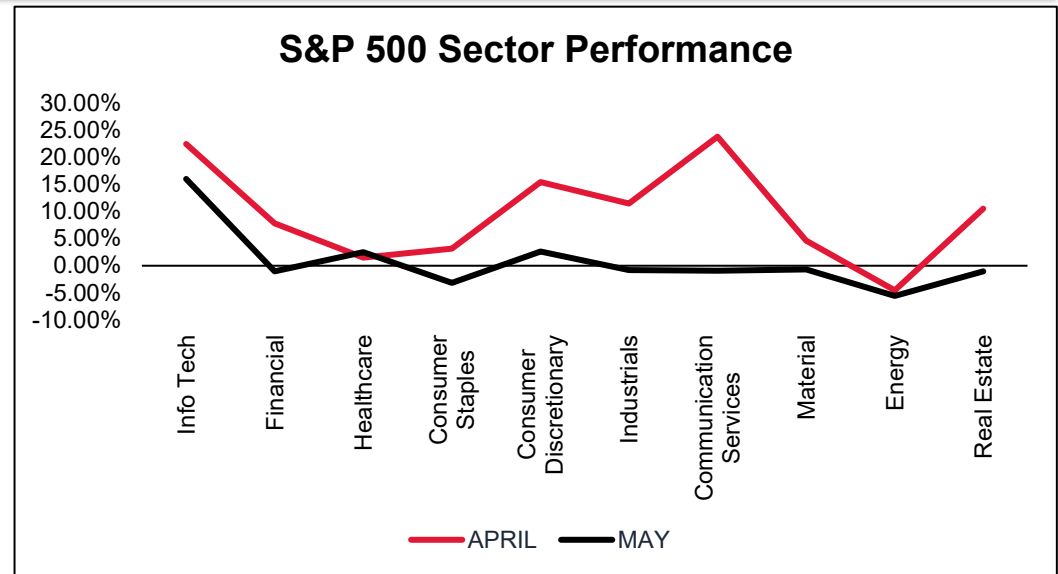
FEMO: Fabulous Earnings Momentum

S&P 500: Trailing EPS & Forward EPS Growth (%)



- **Forward Estimates Highs:** Forward EPS Growth has surged to its highest level in the current cycle, decisively breaking above the trailing EPS growth YoY — a conviction signal that analyst expectations are being revised upward with breadth and durability.
- **The Earnings Cycle is Now Leading the Index:** Forward EPS growth has accelerated sharply into May 2026, outpacing the index re-rating; suggesting the market has yet to fully price in the strength of the current earnings cycle, leaving fundamental upside on the table.
- **FEMO Supports Further Upside into H2 2026:** With forward estimates at cycle highs and the revision trend firmly positive, the earnings backdrop materially reduces valuation risk and provides fundamental support for sustained index outperformance.

S&P 500 Sectors	WTD	MTD	QTD	YTD	2025	2024
Info Tech	4.56%	15.99%	29.86%	23.81%	24.04%	36.61%
Financial	-0.69%	-1.06%	0.99%	-5.44%	14.97%	30.50%
Healthcare	-0.22%	2.48%	-5.30%	-2.96%	14.60%	2.58%
Consumer Staples	-3.23%	-3.17%	-6.28%	7.49%	3.90%	14.87%
Consumer Discretionary	1.51%	2.61%	9.35%	4.11%	6.04%	30.14%
Industrials	0.82%	-0.81%	-2.95%	11.99%	19.27%	17.30%
Communication Services	-0.01%	-0.91%	9.66%	9.31%	33.56%	40.23%
Material	1.27%	-0.66%	-4.63%	11.94%	10.54%	-0.04%
Energy	-5.43%	-5.56%	-1.28%	26.04%	8.68%	5.72%
Real Estate	-1.34%	-1.05%	0.87%	10.59%	3.15%	5.23%
Market Cap	WTD	MTD	QTD	YTD	2025	2024
S&P 500	1.44%	5.26%	10.46%	11.25%	17.86%	25.00%
S&P 100 (Mega Cap)	1.63%	6.32%	12.89%	10.41%	20.14%	30.95%
S&P 400 (Mid Cap)	1.43%	2.45%	3.68%	13.27%	7.48%	13.89%
S&P 600 (Small Cap)	0.86%	1.04%	6.31%	15.55%	5.99%	8.64%
Style	WTD	MTD	QTD	YTD	2025	2024
S&P 500 Value	-0.03%	1.96%	3.12%	7.96%	13.19%	12.27%
S&P 500 Growth	2.66%	8.09%	17.21%	14.00%	22.14%	36.04%
S&P 500 Pure Value	0.49%	1.80%	1.61%	10.43%	17.73%	12.78%
S&P 500 Pure Growth	4.32%	10.62%	21.52%	29.03%	13.68%	28.80%
S&P 500 Low Vol High Div	-1.61%	-1.15%	-4.25%	5.71%	3.66%	18.34%
S&P 500 Low Volatility	-2.49%	-2.79%	-6.20%	2.15%	4.34%	14.22%
S&P 500 Quality	0.81%	5.28%	6.24%	14.12%	13.39%	25.70%
S&P 500 Equal Weight	1.05%	2.68%	2.50%	9.51%	11.40%	12.98%
S&P 500 High Beta	5.70%	11.57%	22.54%	28.71%	33.20%	8.74%
S&P 500 Momentum	3.93%	12.62%	25.70%	26.61%	26.83%	45.96%
CBOE Volatility Index (^VIX)	-7.66%	-9.30%	-28.54%	2.47%	-13.83%	39.36%
MOVE Index	-10.47%	-2.57%	-4.08%	9.79%	-35.26%	-13.80%
Global Market	WTD	MTD	QTD	YTD	2025	2024
MSCI ACWI (All-Countries)	1.16%	5.21%	8.40%	12.35%	22.90%	18.03%
MSCI World (Developed)	0.98%	4.61%	8.02%	10.71%	21.63%	19.23%
MSCI EM (Emerging)	2.42%	9.71%	11.19%	25.65%	34.33%	7.91%
S&P/TSX Composite (CAD)	-0.11%	2.52%	1.26%	10.65%	31.71%	21.66%
STOXX Europe 600 (EUR)	-0.78%	3.22%	2.40%	8.06%	20.65%	9.62%
FTSE 100 (UK)	-0.44%	0.72%	-2.18%	6.55%	25.74%	9.59%
DAX 40 (Germany)	-1.12%	3.34%	1.89%	2.51%	23.01%	18.85%
CAC 40 (France)	-0.64%	2.36%	-0.35%	2.66%	14.28%	0.92%
Nikkei 225 (JPY)	0.50%	6.24%	2.57%	17.48%	25.10%	21.20%
Hang Seng Index (CNY)	-1.48%	-1.74%	-2.46%	-0.80%	32.50%	22.90%
S&P/ASX 200 (AUD)	0.46%	1.27%	-3.80%	2.19%	11.43%	12.71%



Fixed Income

Rates Divergence, Factor Rotation, Credit Spreads and MBS

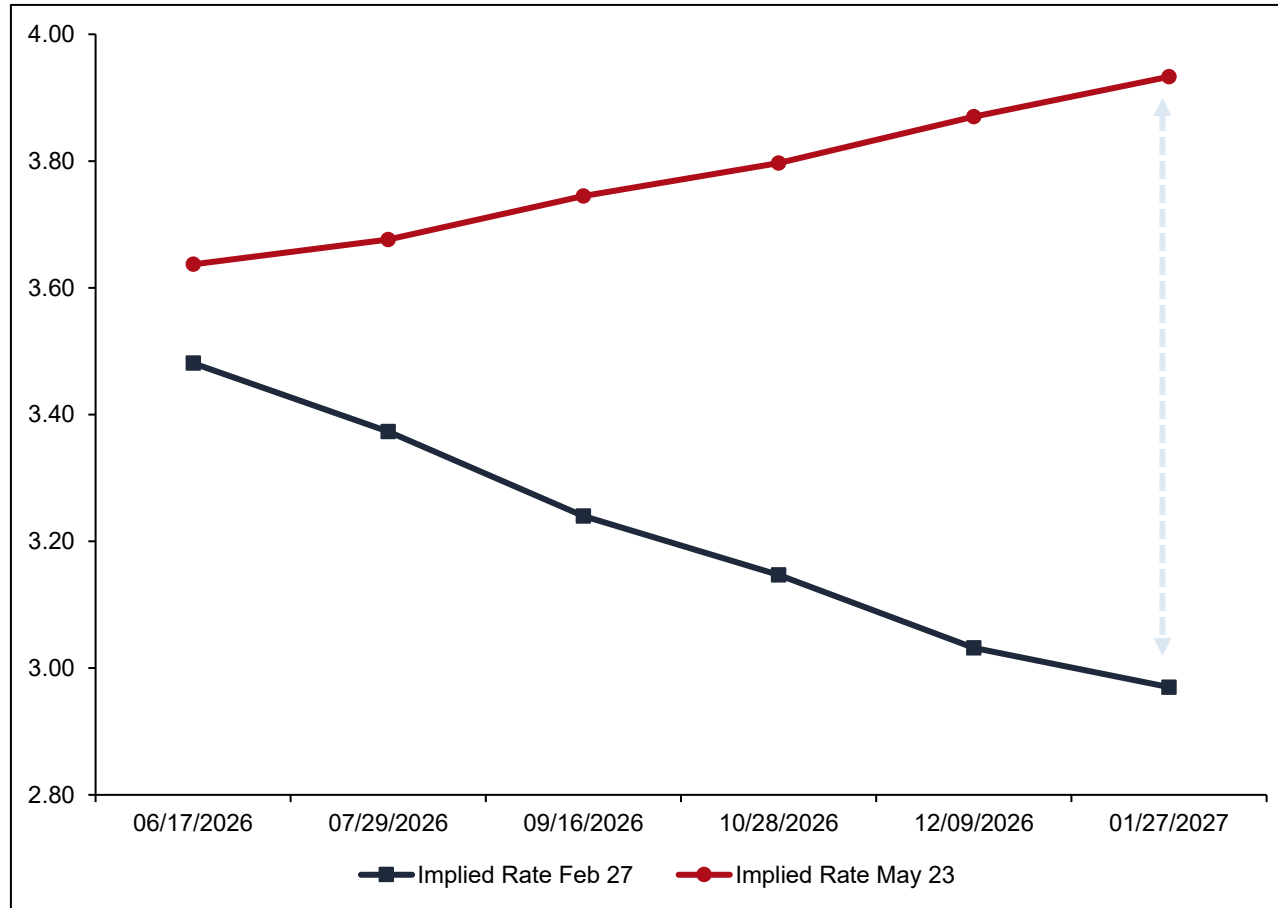
Alyssa Vieira & Jay Savani

The Cut Is Dead, Carry Lives

- **Hormuz Kills the Rate Easing Narrative:** The US Treasury Index 1M return was 0.22%, as the 10Y yield rose 3.0 bps to 4.45%. The rates selloff was caused by the stalemate in Strait of Hormuz and Fed Chair Kevin Warsh's pivot to a hard no-forward-guidance regime. This shift increases duration risks, suggesting investors overweight the belly of the curve.
- **AI Boom Absorbs Supply:** U.S. Corporate Index OAS tightened 7.9 bps to 71.31 bps, as May gross investment-grade issuance reached ~\$175B. The compression was driven by all-in-yield buyers seeking negative rates-spread correlation, while TMT hyperscalers funded an AI spending boom. This issuance offset carry capping 1M total returns at 0.85%.
- **Quality Bias Split HY Market:** US High Yield bond issuance reached ~\$35B and CDX HY closed at 300 bps, as Ba spreads tightened 13 bps while Caa widened 45 bps. This divergence and the ~40% US loan issuance decline YoY were driven by quality bias and credit tightening from AI disruption. With yields at 8.5% on ~\$80B of loans, the asset class offers carry suggesting investors underweight Caa debt.
- **Prepayments Freeze:** U.S. MBS spreads compressed to 22.01 basis points, while private-label CMBS spreads ended at 277.51 basis points. Mortgage rates climbing into the mid-six percent range cut refinancing applications by 50%, reducing aggregate prepayments sequentially to 10.6 conditional prepayment risk. This lower prepayment pace increases cash flow predictability while structured investors remain selective due to rising multifamily delinquency risks.
- **Global & EM Fixed Income:** 10Y gilt yields declined 20 bps to 4.98% after May CPI showed a +2.8% YoY, undershooting expectations and reinforcing fiscal and inflation credibility. Indonesia (−15.9 bps to 6.72%) and South Africa (−38 bps to 8.58%) both rallied sharply on EM carry demand and central bank support, though South Africa's upcoming rating review remains a binary risk that could rapidly reverse May's gains. India (7.00%) was effectively flat, caught between energy import pressure and RBI support.

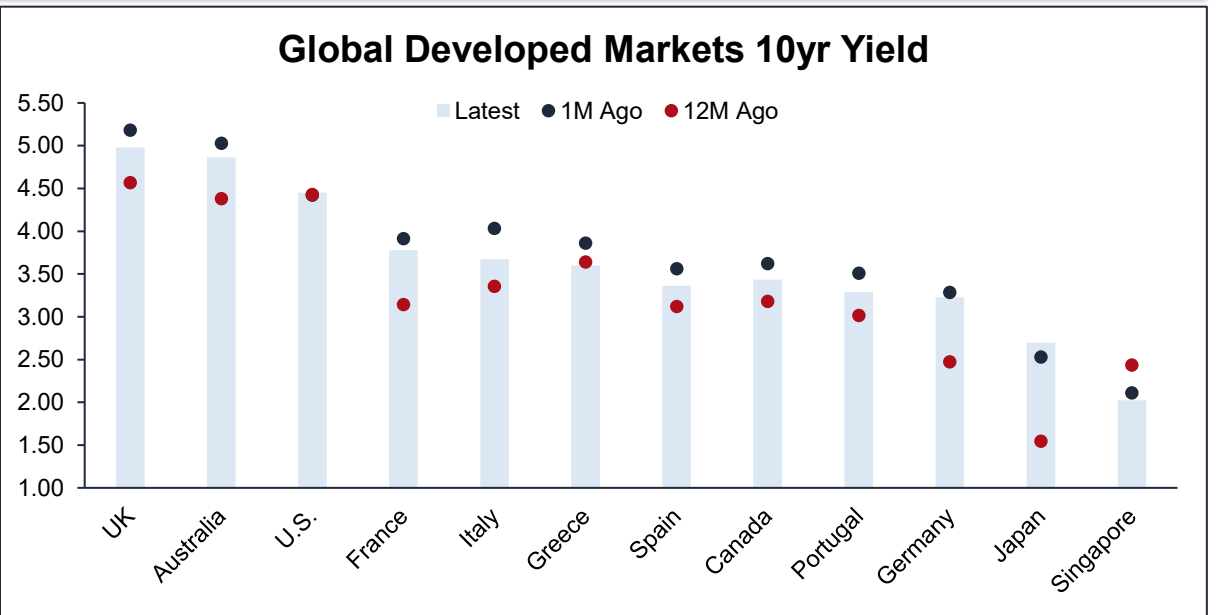
Market Implied Policy Rate Path

US OIS-Implied Fed Funds +84 Basis Points Reality



- **Hawkish Rate Pivot:** On Feb 27, the Dec 2026 OIS contract stood at 3.032%, but rose to 3.870% by May 22, a hawkish swing of ~84bps. Markets shifted from pricing ~2.4 cuts to only ~1 cut by year-end, setting a significantly higher rates floor.
- **The Curve Tail Lengthens:** From Feb 27 to May 22, the March 2027 policy contract rose from ~2.97% to 3.989%, pricing in 37.2 bps of hikes at the long end. This repricing delays any potential rate cuts well into 2027.
- **Duration Hits Corporate Returns:** The OIS curve re-anchoring signals the Fed stays restrictive through 2027, keeping 5-10yr treasury yields elevated, the range that directly drives price losses in the 6.93-year duration Corporate Index.
- **Net Impact:** Higher-for-longer rates sustain spread widening pressure across IG credit.

Index Name	YTM (%)	OAS (bps)	Duration (yrs.)	1-Mo. (%)	YTD (%)	1Y (%)
U.S.						
U.S. Aggregate	4.67	24.96	5.98	0.43	0.58	5.36
U.S. Treasury	4.29	-0.13	5.86	0.22	0.18	3.93
Long	4.98	-0.12	14.32	0.49	-0.01	4.66
Short Treasury	3.74	0.50	0.37	0.31	1.42	4.05
US Treasury Floating Rate	3.70	18.21	0.00	0.34	1.59	4.17
U.S. MBS	4.93	22.01	5.52	0.45	1.01	7.11
U.S. CMBS	6.93	277.51	3.03	0.65	1.99	7.15
U.S. TIPS	4.38	3.87	6.60	0.40	1.81	5.27
Municipal Bond Index	3.67	-	6.14	0.37	1.30	6.68
U.S. IG CREDIT (BY RATING)						
Corporate	5.13	71.31	6.93	0.85	0.91	6.29
Liquid Investment Grade TR	5.59	83.55	7.86	0.97	0.84	6.51
Aaa	4.99	31.17	10.72	0.89	0.54	4.92
Aa	4.96	44.89	8.08	0.68	0.59	5.06
A	5.02	60.99	6.88	0.74	0.75	6.14
Baa	5.32	90.17	6.78	0.93	1.13	6.89
U.S. HIGH YIELD & LOANS						
Liquid High Yield TR	7.10	280.25	2.89	0.65	1.60	7.35
Ba	6.16	149.97	3.44	0.60	1.68	7.46
B	7.62	271.96	2.87	0.90	1.89	7.99
Caa	11.62	688.76	2.92	0.38	1.76	8.57
Ca-D	39.17	3495.92	2.76	-11.50	-12.23	-17.56
US Lev Loan Index	8.50	467.87	0.25	0.61	1.17	4.74
EUROPE						
Euro-Aggregate	3.17	41.79	6.29	1.45	1.13	1.21
Treasury	3.09	29.97	7.08	1.60	1.19	0.68
High Yield (Euro)	5.68	259.33	3.06	0.98	1.23	4.27
Eur Leveraged Loan Index	7.49	484.87	0.25	0.83	1.57	3.80
Sterling Aggregate	4.85	16.69	7.45	2.21	-0.03	3.91
ASIA & EMERGING MARKETS						
Asian-Pacific Aggregate	2.30	5.23	6.82	-0.15	2.37	8.04
JGB	2.30	-0.62	8.02	-1.04	-2.90	-5.81
10+	3.39	0.83	15.91	-2.95	-7.07	-12.68
China Aggregate	1.61	9.87	5.71	0.46	1.81	2.08
EM Investment Grade	5.18	80.63	6.48	0.43	0.56	7.07
EM High Yield	7.41	306.72	5.27	1.39	3.16	13.98



Index Name	YTM (%)	OAS (bps)	Duration (yrs.)	1-Mo. (%)	YTD (%)	1Y (%)
GLOBAL						
Global Aggregate	3.76	26.28	6.29	0.73	0.63	3.40
Treasuries	3.44	6.87	6.81	0.63	0.06	1.15
Credit	4.52	67.87	6.02	0.87	0.77	5.77
Corporate	4.66	75.54	5.98	0.90	0.78	5.87
Global High Yield	7.06	277.42	3.85	0.86	1.92	9.43
Glb Leveraged Loan Index	8.27	471.74	0.25	0.60	1.10	5.18
Global Securitized	4.53	26.90	5.18	0.52	0.87	6.55
CANADA						
Canada Agg	3.57	35.17	7.13	1.70	2.08	3.02
Treasury	3.15	-0.51	6.63	1.50	1.65	1.76
Long	3.70	-0.12	15.95	3.01	3.58	-0.72
Corporate	3.96	83.06	5.45	1.49	1.99	4.31
Canada Aggregate: Provincial	3.86	47.30	9.53	2.20	2.81	3.49
Canada Aggregate: Municipal	4.02	61.14	9.28	2.17	2.84	4.24
Aaa	3.17	3.42	6.14	1.44	1.59	2.13
Baa	4.11	96.11	5.35	1.52	2.11	4.94

Commodities

Fragile Ceasefire Reverses Energy

Daksh Singh & Elizaveta Roman

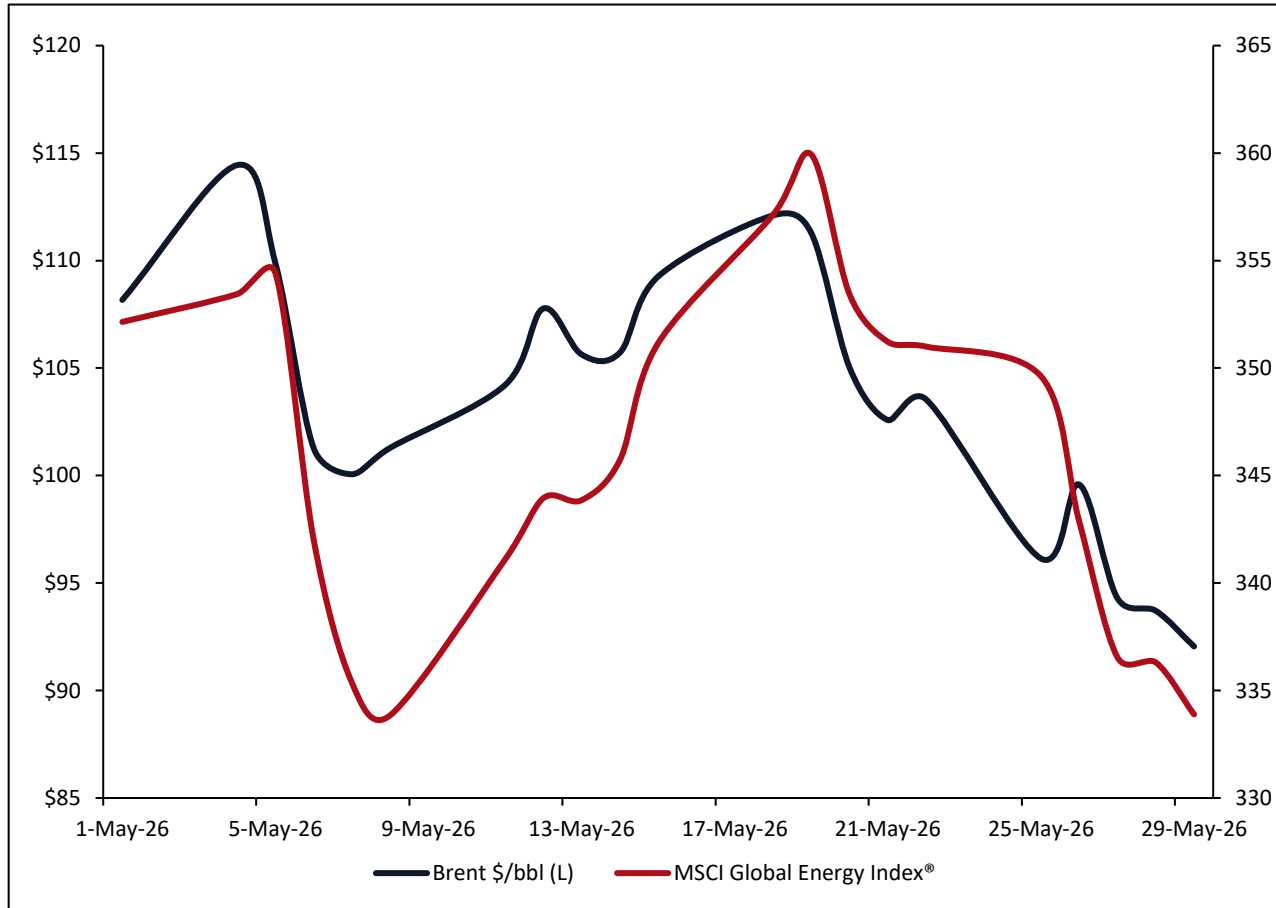


Fragile Ceasefire Reverses Energy

- **Elevated Commodity Market Volatility:** A sudden pivot toward credible U.S.-Iran ceasefire diplomacy completely altered the commodity landscape in May. The S&P GSCI posted its sharpest monthly decline since March 2020, falling 8.65% MTD, driven almost entirely by an energy sector reversal. Brent crude fell below \$92 per barrel, surrendering the majority of its war-driven gains as markets priced in a gradual restoration of global oil supply.
- **Oil Retreats as Geopolitical Tensions Ease:** A fragile ceasefire framework shattered oil's war premium and triggered the steepest monthly decline since the pandemic. WTI crude fell 14.30% MTD to close at \$87.36, while Brent settled at \$92.05 (-14.90% MTD), erasing roughly half the gains since the March 4 closure. Analysts cautioned any physical recovery in flows would be slow, as mines require clearing and damaged Gulf infrastructure needs repair into Q3.
- **Factory Outages Keep Metal Supply Tight and Prices High:** Aluminium continued to outperform, rising 4.10% MTD to \$3,666/mt as Gulf smelter disruptions at Abu Dhabi (EGA) and Bahrain (Alba) showed no near-term resolution. Copper posted a second consecutive monthly advance to \$13,636/mt, supported by AI data center demand, China's sulfuric acid export suspension, and U.S. pre-tariff front-running. Nickel remained under upward pressure.
- **Rising Yields and Hawkish Policy Cap Gains Pressure Precious Metals:** Gold settled near \$4,560/oz, down roughly 1.81% MTD. Performance was pressured by the 10-year Treasury yield reaching a 16-month high of 4.70% and rising real yields. The assumption of office by new Fed Chair Kevin Warsh on May 16 reinforced hawkish expectations. Silver closed near \$75.88/oz, giving back a tariff-truce-driven spike to close flat MTD (-0.10%).
- **Structural Shortages Choke Ag Supply:** A mixed but resilient month as a Hormuz-driven fertilizer shock was offset by trade and weather dynamics. Corn settled at 446.75/bu on the USDA's reduced 16.0-billion-bushel crop projection, while Wheat closed at 610.50/bu, supported by the smallest winter wheat harvest since 1965. Live Cattle declined -1.88% MTD to 248.25/cwt on the lowest U.S. inventory since 1951. Cocoa rallied 17.58% MTD on renewed West African supply concerns.

Ambiguous Peace Deal Drives Oil Decline

Speculative Progress Sparks Coordinated Drop in Oil



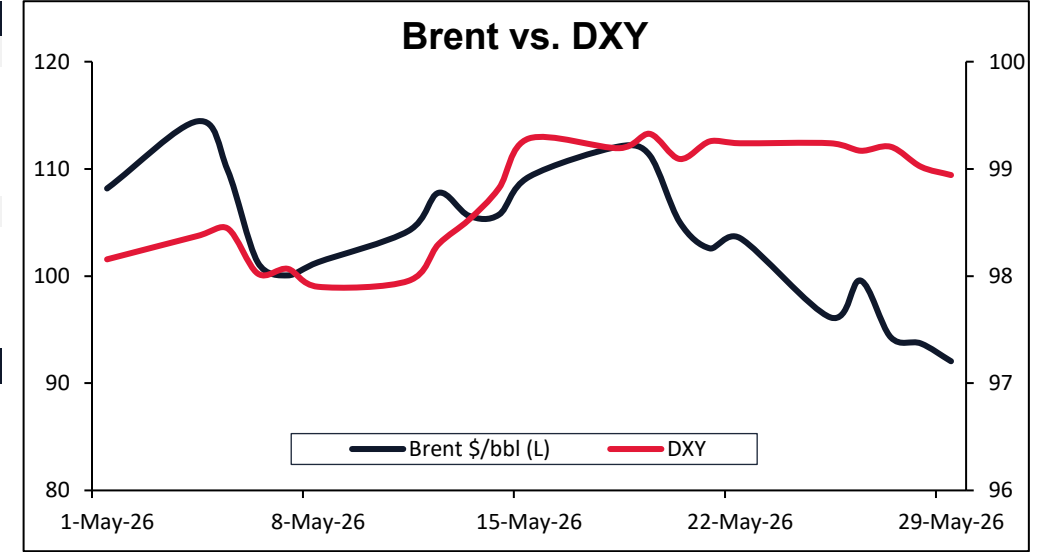
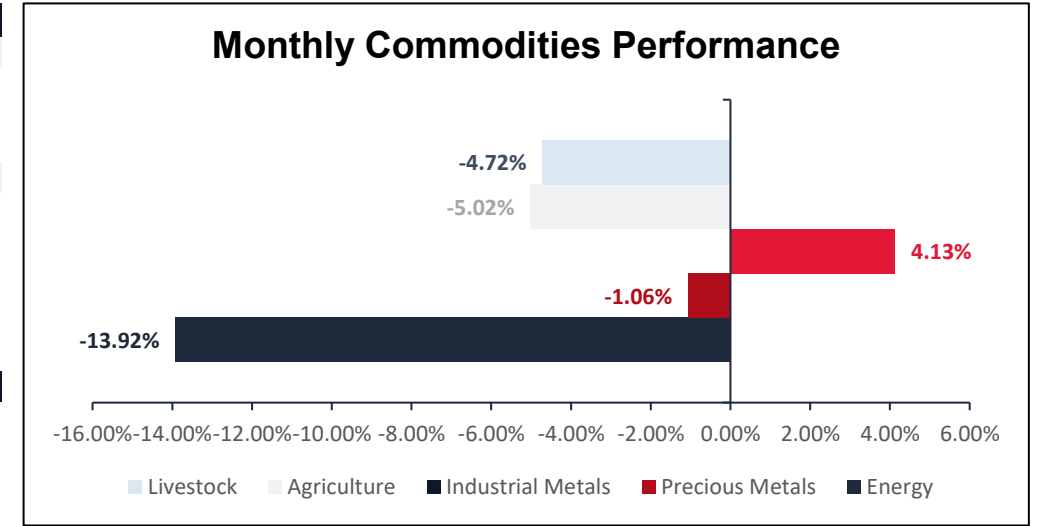
- **Fragile Peace Talks:** Anticipation surrounding a 60-day U.S.-Iran memorandum of understanding including unverified provisions to clear mines and restore prewar vessel traffic triggered an unstable single-month unwind, with Brent shedding 14.90% MTD to close at \$92.05 and dragging the Global Energy Sector Index lower in tandem.
- **The Three-Phase Decline:** Brent held above \$110 in early May while the Strait stayed closed, eroded steadily mid-month as MOU talks circulated, then fell sharply after May 20 as the 10-year yield hit 4.70% and the ceasefire draft leaked.
- **Geopolitical Uncertainty:** Markets ended May carrying a residual \$8–12 per barrel geopolitical premium, as Trump had not yet approved the MOU terms. The EIA projects Brent averaging ~\$106/bbl through June before easing toward \$89/bbl in Q4 2026.

INDEX	Price	Daily	Daily %	MTD%	YTD%
Headline Indices					
S&P GSCI	694.57	-8.33	-1.19%	-8.65%	26.75%
MSCI Global Energy Index	333.89	-2.42	-0.72%	-5.18%	22.66%
Dow Jones Cmdty Index	658.66	-4.85	-0.73%	-2.67%	27.50%
Commodity Sectors					
Energy	305.90	-5.24	-1.68%	-13.92%	50.14%
Precious Metals	6167.38	71.47	1.17%	-1.06%	6.17%
Industrial Metals	632.92	-1.18	-0.19%	4.13%	14.04%
Agriculture	364.77	-6.11	-1.65%	-5.02%	3.88%
Livestock	532.17	-7.72	-1.43%	-4.72%	4.77%

Energy					
NYM WTI Crude (\$/bbl)	87.36	-1.54	-1.73%	-14.30%	52.41%
ICE Brent (\$/bbl)	92.05	-1.66	-1.77%	-14.90%	51.52%
NYMEX Henry Hub Natural Gas (\$/MMBtu)	3.29	0.00	0.15%	18.35%	-9.07%
NYM NYM Gasoline (\$/gal)	312.67	-5.85	-1.84%	-13.03%	84.12%

Metals					
Precious					
Gold (\$/troy oz)	4560.50	61.20	1.36%	-1.81%	5.33%
Silver (\$/troy oz)	75.88	-0.04	-0.05%	-0.10%	6.84%
Palladium (\$/troy oz)	1361.00	-16.60	-1.20%	-11.97%	-19.54%
Platinum (\$/troy oz)	1929.50	2.20	0.11%	-4.10%	-9.23%
Industrial					
Copper (\$/mt)	13636.00	-65.50	-0.48%	4.92%	9.35%
Aluminium (\$/mt)	3666.50	7.00	0.19%	4.10%	21.59%
Nickel (\$/mt)	19062.00	-39.00	-0.20%	-1.56%	13.33%

Agriculture					
Corn (¢/bu)	446.75	-9.00	-1.97%	-4.59%	2.11%
Soybeans (¢/bu)	1,186.75	-7.75	-0.65%	-0.08%	15.27%
Wheat (¢/bu)	610.50	-13.50	-2.16%	-2.24%	20.53%
Cocoa (\$/mt)	3,923.00	-176.00	-4.29%	11.42%	-33.18%
Live Cattle (¢/lb)	248.25	-1.50	-0.60%	-1.88%	5.19%





FX

Markets Weigh Growth Risks

Prabhjot Kaur

Markets Weigh Growth Risks

- **Monthly Performance:** The dollar headed for a small weekly fall to end May, with the DXY down 0.3% at 99, as hopes for a US-Iran ceasefire extension weighed on safe-haven demand. The euro traded flat near 1.1643, while sterling fell to 1.3410 and the yen remained under pressure near the 160 level despite heavy intervention. CAD rebounded from a six-week low to settle firmer at 1.3853, while the NZD was the month's outperformer, rising to 0.5968 on aggressive RBNZ rate hike signals.
- **USDCAD (1.3853):** Firm oil prices offered support to the CAD in May, but rising US yields and broad USD strength proved the dominant drivers. The US 2-year Treasury yield rose nearly 70bps and the 10-year yield gained around 50bps since late February, while the USD Index advanced about 1.5% as investors responded to persistent inflation concerns and geopolitical risks. Expectations for a higher-for-longer Fed stance widened the USD's yield advantage over the CAD, supporting USDCAD through the month.
- **USDJPY (159.26):** The yen drifted back to the 160-danger zone by month-end, trading at 159.65 on May 29 after Japan spent ¥11.7 trillion (73.68 billion) on intervention between April 28 and May 27 with only temporary effect. Tokyo holds a 1 trillion war chest, but exhausting reserves is unrealistic, and officials appear focused on defending the 160 level "at all costs" with the next intervention expected before 162. The yen remains battered by the Middle East energy shock and the BOJ's cautious rate-hike stance, setting up a continued war of nerves between authorities and speculators.
- **Outlook:** The path of least resistance is toward a stronger dollar against the yen and euro, as the Fed shifts focus to fighting inflation with the next FOMC meeting on June 16-17. Japan's war of nerves with speculators will continue, though intervention is constrained by the need for US cooperation and the impracticality of depleting its \$1 trillion war chest. A lasting US-Iran ceasefire would be the biggest risk to dollar strength, dampening inflation expectations and reducing haven demand.

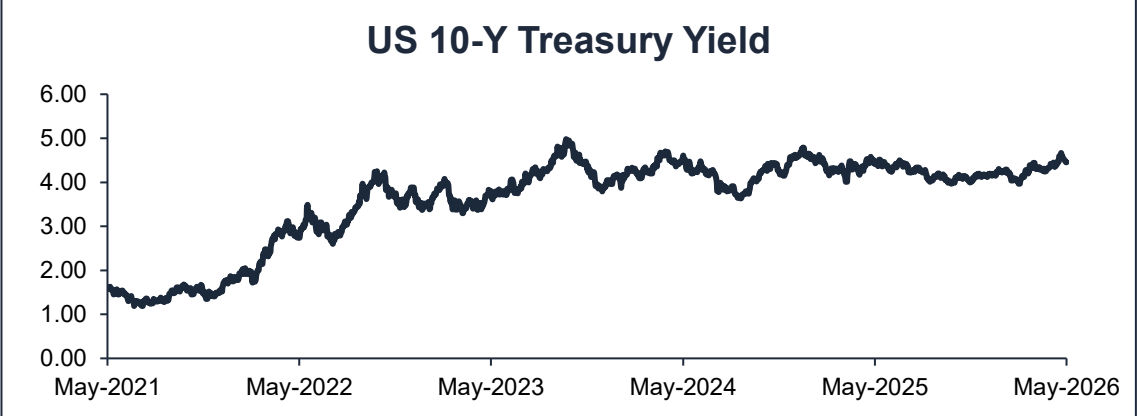
Global Risks Ease, Uncertainty Persists

Markets Rotate from Safety, Weighing on USD



- **Inflation & rates remain in focus:** Persistent inflation concerns and rising global bond yields reinforced expectations that major central banks may maintain restrictive policy settings for longer, supporting higher-yielding currencies.
- **Geopolitical de-escalation drives USD pullback:** Reports of a 60-day US-Iran ceasefire extension improved risk appetite and eased concerns over prolonged disruptions to global energy markets, reducing safe-haven demand and pushing the dollar index down to 99, as uncertainty around a lasting agreement continued to shape flows and kept markets cautious.
- **Risk-sensitive currencies lead gains:** The AUD rose 0.32% to \$0.71645 and the NZD gained 0.51% to \$0.59315, while the DXY fell 0.3% to 99 as investors rotated into higher-beta currencies.

	Market Pricing					
	1-Month	3-Months	12-Months	MTD	QTD	YTD
USDCAD	-0.30	-2.77	-1.02	-0.30	-2.77	-1.02
EURUSD	0.28	2.04	0.20	0.28	2.04	0.20
USDJPY	0.00	-1.43	-0.04	0.00	-1.43	-0.04
USDCNY	0.00	1.02	2.44	0.00	1.02	2.44
USDCHF	-0.34	-2.85	-1.72	-0.34	-2.85	-1.72
AUDUSD	0.50	5.23	8.27	0.50	5.23	8.27
NZDUSD	-0.54	-3.49	-2.82	-0.54	-3.49	-2.82
GBPUSD	0.34	3.18	1.23	0.34	3.18	1.23



World FX (Historical)													
Currency Pair	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
USDCAD	1.38	1.38	1.37	1.38	1.38	1.40	1.40	1.40	1.37	1.36	1.36	1.39	1.39
EURUSD	1.13	1.13	1.18	1.15	1.17	1.17	1.15	1.16	1.17	1.19	1.18	1.16	1.17
USDJPY	145.38	144.21	143.61	148.14	147.27	147.17	154.13	155.28	156.73	154.33	156.07	158.63	159.26
USDCNY	7.20	7.16	7.20	7.13	7.12	7.12	7.08	6.99	6.95	6.86	6.90	6.83	6.77
USDCHF	0.83	0.82	0.79	0.81	0.80	0.80	0.80	0.80	0.79	0.77	0.77	0.79	0.78
AUDUSD	0.64	0.64	0.66	0.65	0.66	0.66	0.65	0.66	0.67	0.70	0.71	0.69	0.72
NZDUSD	0.60	0.61	0.59	0.59	0.58	0.57	0.57	0.58	0.60	0.60	0.57	0.59	0.60
GBPUSD	1.33	1.35	1.37	1.32	1.35	1.35	1.31	1.32	1.35	1.37	1.35	1.33	1.35

World FX (Estimates)												
	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27
USDCAD	1.38	1.39	1.39	1.39	1.39	1.39	1.39	1.40	1.39	1.39	1.37	1.37
EURUSD	1.16	1.17	1.17	1.18	1.18	1.19	1.19	1.19	1.20	1.20	1.17	1.18
USDJPY	158.77	157.39	156.88	155.20	154.81	153.60	151.59	151.29	150.11	149.55	148.15	150.83
USDCNY	6.82	6.81	6.80	6.80	6.79	6.77	6.76	6.75	6.74	6.73	6.73	6.73
USDCHF	0.80	0.80	0.80	0.80	0.80	0.80	0.80	0.80	0.80	0.80	0.78	.79
AUDUSD	0.71	0.71	0.72	0.72	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72
NZDUSD	0.59	0.59	0.60	0.60	0.60	0.60	0.61	0.61	0.61	0.61	0.58	0.60
GBPUSD	1.34	1.34	1.35	1.35	1.35	1.35	1.36	1.36	1.36	1.36	1.35	1.36



Alternatives

Bifurcation Across Private Markets

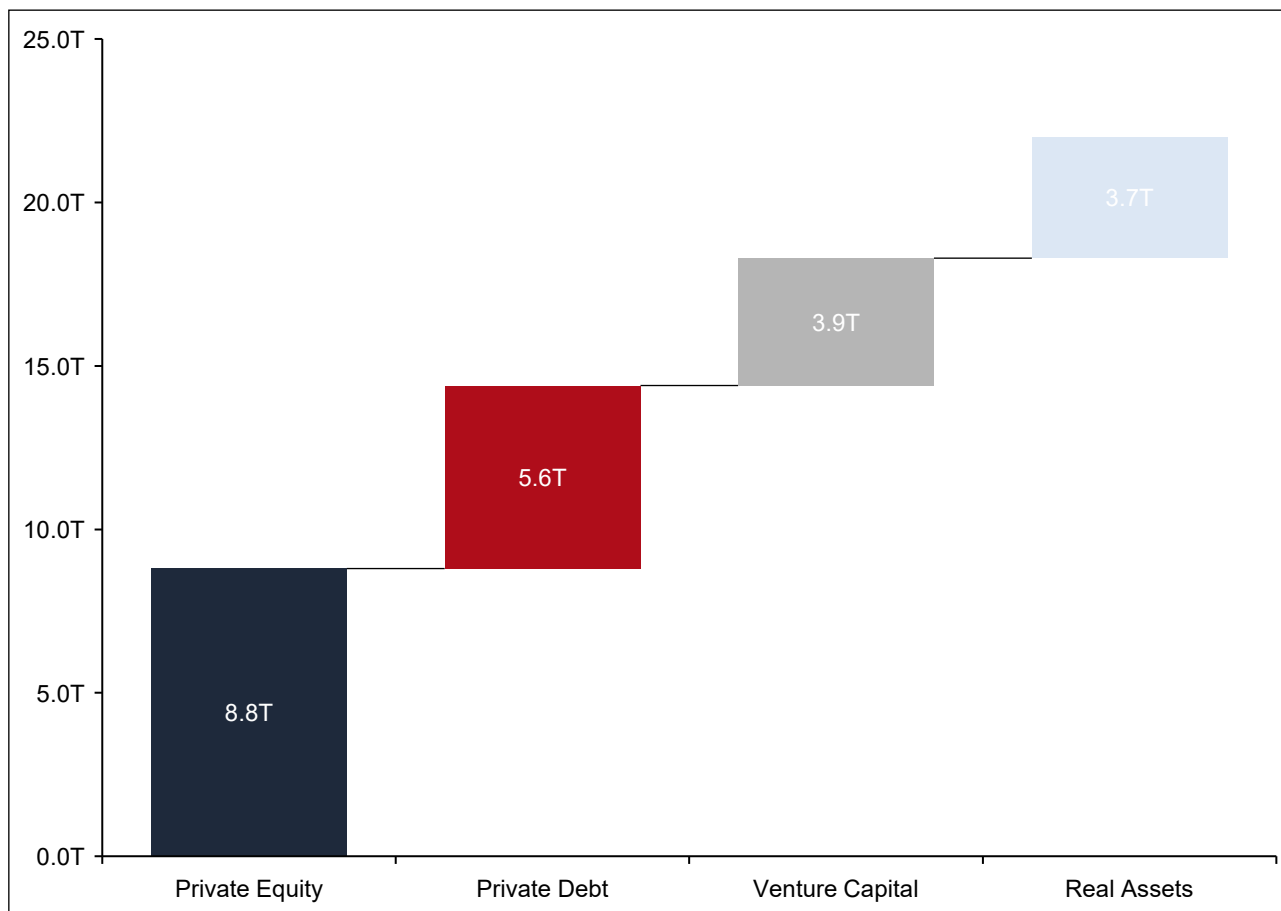
Gopal Vasir

Bifurcation Across Private Markets

- **Sluggish Month for Alternatives:** Private markets are splitting; while headline numbers are unprecedented, a few AI mega-rounds conceal a sluggish overall market. Ahead of a crucial IPO season, generalist PE, software credit, and stale unicorn valuations are under increasing pressure as capital is shifting toward experts and real assets.
- **Private Equity & VC Fund Raising Soars:** PE fundraising increased by almost 30% year-over-year. Specialists were able to secure 74% of the capital, which put pressure on generalist mid-market managers because payouts are currently at about 16% of NAV as opposed to the historical standard of 25%. In Q1, the value of venture capital deals reached \$245.6 billion, but 76.8% of those deals went to four companies. After removing those companies, the market remained ordinary, with more than half of the 1,680 active unicorns remaining unpriced for more than two years.
- **Private Credit Regains Pricing Power:** US direct lending spreads widened 50–100bps to ~525bps as macro volatility handed lenders pricing power, while European spreads held near 510bps — compressing the traditional premium to near zero. Software underwriting tightened sharply as ARR loans gave way to EBITDA multiples; 2026 incentive pay is set to fall 2.5–7.5% as fundraising hit a post-2018 low, rolling one-year IRRs sit at just 3.9%.
- **Private Real Estate Faces Headwinds:** Due to rate resets and LP impatience, conventional real estate AUM is expected to remain unchanged at approximately \$2T through 2030. The most valuable real estate in the AI cycle is grid connections in Data Center Alley, not buildings, as demonstrated by NextEra's \$66.8 billion acquisition of Dominion at 13.9x EV/EBITDA. Capital is shifting into electricity and digital infrastructure.
- **Hedge Funds Benefit From AI Rally:** Hedge funds gained 1.6% in May (HFRI Composite), driven by a historic 22.3% two-month technology rally as AI enthusiasm and a building IPO pipeline fueled equity hedge strategies; event-driven hedge funds rose 2.1% on activist positioning ahead of an expected H2 M&A surge, while macro managers lagged as oil prices fell sharply.

Not All Trillions Are Equal

Private Markets AUM forecast – 2030E

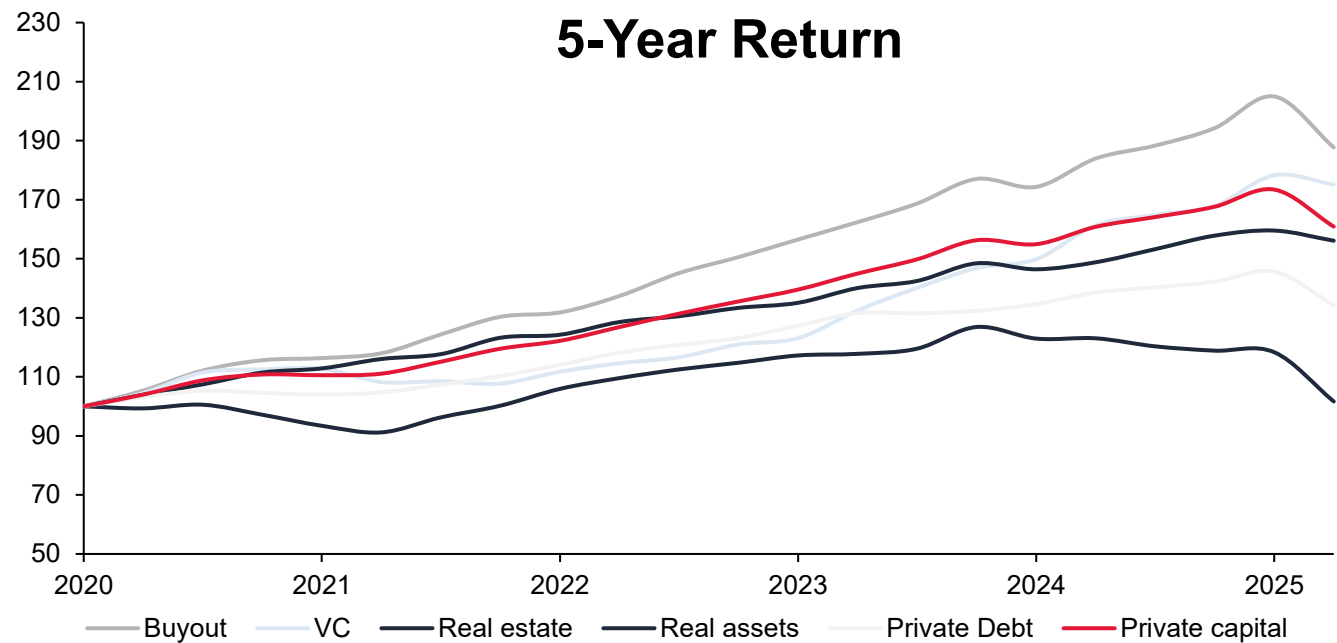


- **Real Assets:** Forecast to grow at 11.3% CAGR to \$3.7T, driven by AI infrastructure buildout, energy transition and supply chain rewiring.
- **PE decelerating despite scale:** Largest pool of \$8.8T but growing at just 5.2% CAGR, with distributions at ~16% of NAV vs. a 25% historical norm.
- **Venture Capital:** Base case ends the decade at \$3.9T – roughly where it starts – with the entire range (\$2.8T - \$5.5T) hinging on whether SpaceX, OpenAI, and Anthropic convert paper gains into real exit.
- **Private Debt:** On track to reach \$5.6T by 2030, driven by new inflows from insurance and retail evergreen channels and a growing opportunity beyond sponsor-backed lending

3-Year Quarterly Performance

Date	Private Capital	Private Equity	Venture Capital	Private Debt	Real Estate
12/2025	2.60%	2.43%	9.72%	1.35%	2.21%
09/2025	2.15%	2.16%	6.65%	1.21%	0.34%
06/2025	2.30%	2.47%	3.41%	1.56%	1.36%
03/2025	1.28%	1.17%	2.41%	1.43%	0.05%
12/2024	1.67%	1.98%	2.27%	1.67%	-0.12%
09/2024	1.69%	1.85%	-0.90%	2.20%	0.57%
06/2024	1.46%	1.57%	-1.22%	2.06%	-0.26%
03/2024	1.47%	1.44%	1.25%	2.68%	-0.09%
12/2023	1.55%	2.09%	-1.27%	2.30%	-2.00%
09/2023	0.96%	1.31%	-1.92%	2.54%	-1.40%
06/2023	1.41%	1.59%	-0.50%	2.34%	0.27%
03/2023	1.43%	1.91%	-2.73%	1.87%	-0.49%

5-Year Return



Annualized Performance as of December 2025

Index	3-Month	6-Month	12-Month	3-Year Annualized	5-Year Annualized	10-Year Annualized	15-Year Annualized
Private Capital	2.60%	4.81%	8.59%	6.82%	10.70%	11.82%	12.02%
Private Equity	2.43%	4.65%	8.49%	7.53%	11.52%	13.76%	13.60%
Venture Capital	9.72%	17.02%	23.92%	5.59%	8.08%	11.35%	12.17%
Private Debt	1.35%	2.58%	5.67%	7.96%	9.59%	8.65%	9.00%
Real Estate	2.21%	2.55%	4.00%	0.12%	5.71%	6.96%	8.90%
Infrastructure	-0.86%	1.08%	5.25%	7.14%	10.19%	9.39%	9.12%
Natural Resources	14.71%	17.69%	24.40%	8.97%	17.49%	7.58%	6.41%
S&P 500 Total Return	2.65%	11.00%	17.88%	23.17%	14.42%	14.82%	14.06%
MSCI World TR	3.20%	10.80%	21.60%	21.65%	12.66%	12.74%	11.20%

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